

Japan Equity Strategy

Apr- Jun earnings wrap: Earnings beat across wide range of sectors, raising TOPIX year-end target to 4,600

Earnings announcements for April-June are now largely complete. TOPIX companies reported strong earnings, with sales up 14% YoY and net profit up 70% YoY. Semiconductor names, which saw share price corrections in July, were the biggest drivers of profit growth, and the scope of profit growth expanded to a broad range of sectors beyond semiconductors, particularly banks, securities, trading companies, automakers and machinery, which showed solid rates of profit growth and a high ratio of earnings beats. Among individual companies, Advantest, a semiconductor production equipment (SPE) manufacturer, presented positive catalysts for further profit growth, contributing to the recovery in semiconductor stocks. Meanwhile, stocks threatened by AI, such as AI infrastructure, IT services, internet and games companies, also reported strong earnings. In particular, Recruit disclosed results that far exceeded expectations again this quarter, following last quarter's earnings that dispelled the market's view of the company as a stock threatened by AI, demonstrating that share price recoveries are sustainable for non-AI companies able to successfully monetize AI. Following the release of US employment data on August 7 and a retreat in expectations for US interest rate hikes, both semiconductor names and stocks threatened by AI have risen over the past week. In terms of shareholder returns, Toyota Motor announced a ¥1 trillion share buyback. Trading companies reported strong earnings and made a commitment to swiftly achieve ROE targets without ruling out capital management, demonstrating that corporate reforms are still healthy. We raise our year-end outlook for TOPIX in response to strong earnings beats across a broad range of sectors. The Japanese equity market is attracting growing investor interest, as it offers broad market breadth with no signs of excessive positioning or overvaluation. From the AI versus non-AI perspective, we recommend a selective investment strategy focused on high-quality names, selecting AI semiconductor stocks while expanding exposure to non-AI stocks with strong earnings. On the non-AI side, we position financials (banks and securities) as core holdings and raise our stances on the AI infrastructure, internet, and game sectors to Overweight, and within capital goods, we raise our stances on the trading companies, machinery, and tech sectors to Overweight.

Summary

- TOPIX companies posted very strong earnings for April-June, with sales up 14% YoY and net profit up 70% YoY. The scope of profit growth expanded beyond semiconductors to banks, securities, trading companies, automakers, and machinery.
- The yen depreciated by 10% in April-June, but the impact on net profit was limited to +5ppt, with the bulk of net profit growth driven by real factors, such as price pass-through and expanding demand.
- In terms of shareholder returns, Toyota Motor announced a ¥1 trillion share buyback. Trading companies signaled a commitment to quickly achieving ROE targets without ruling out capital management.
- In response to strong earnings beats across a broad range of sectors, we

Equity Strategy

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raise our end-2026 forecast for TOPIX from 4,400 to 4,600, while keeping our Nikkei 225 forecast unchanged at 75,000. By end-March 2027, we expect TOPIX to reach 4,800 and the Nikkei 225 to reach 80,000 , while anticipating semiconductors will be a catalyst.

- From the AI versus non-AI perspective, we recommend a selective investment strategy focused on high-quality names, selecting AI semiconductors while expanding exposure to non-AI stocks with strong earnings. On the non-AI side, we position financials (banks and securities) as core holdings and raise our stances on the AI infrastructure, internet, and game sectors to Overweight, and within capital goods, we raise our stances on the trading companies, machinery, and tech sectors to Overweight.

Equity strategy after April-June results

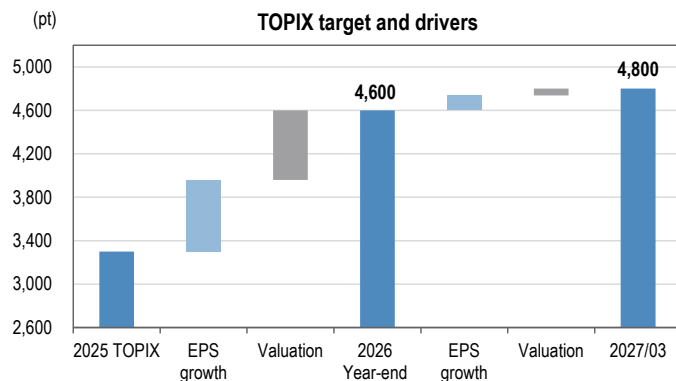
Equity market outlook: Forecast TOPIX at 4,800 and Nikkei 225 at 80,000 by end-March 2027

In April-June, TOPIX companies reported very strong earnings, with sales up 14% YoY and net profit up 70% YoY, as over 70% of companies beat profit forecasts. The yen depreciated by about 10% during the quarter (on average from ¥144.5 last year to ¥159.4 YoY), but we estimate the positive impact on net profit from the weaker yen was only 5ppt (with an impact of about ¥1 trillion on operating profit). We believe most profit growth was driven by real factors, such as price pass-through by companies. Semiconductor names, which saw a share price correction in July, were again the largest driver of corporate profit growth (accounting for 26% of the 60% increase in net profit), and profit growth broadened to a wide range of sectors beyond semiconductors (contributions to net profit growth were automakers: 20%, financials: 15%, energy and trading companies: 15%). This earnings outperformance occurred even though we estimated that higher crude oil prices during the quarter would push down consensus forecasts for EPS by about 6ppt for the year. Although the increase in costs from higher crude oil prices will become more pronounced in 2Q, we raise our end-2026 forecast for TOPIX from 4,400 to 4,600 in light of stronger-than-expected earnings across a broad range of sectors (no change in our Nikkei 225 forecast of 75,000). Uncertainty in the forex outlook remains high, but we believe upward revisions to earnings forecasts on an actual basis are likely to continue, and we raise our earnings forecasts as well (lifting our EPS forecasts from ¥234 to ¥242 for FY2026 and from ¥263 to ¥278 for FY2027; raising our 12-month forward EPS estimate as of end-2026 from ¥256 to ¥269, Figure 3; P/E unchanged at 17x, NT ratio at 16.3x: Figure 2). Toward the end of the year, we expect both AI and non-AI sectors to deliver earnings growth, with the gap narrowing for share prices and earnings in non-AI sectors, resulting in a more balanced upward trajectory in the market. We expect the next major catalyst for semiconductors to arrive around the beginning of next year, and see TOPIX moving towards 4,800 and the Nikkei 225 to 80,000 (NT ratio: 16.7x) by end-March 2027.

Equity strategy: Invest in select AI semiconductor names and non-AI companies with strong earnings

For our equity strategy, we recommend taking a selective approach to investment in high-quality AI semiconductor stocks while expanding investment in non-AI sectors. For AI semiconductors, we maintain our Overweight stance in light of strong earnings at SPE makers, though we will be increasingly selective based on earnings. On the non-AI side, we position financials (banks and securities) as core portfolio holdings, and raise our stance to Overweight for the internet and game sectors, where there was a large gap between earnings and share prices. Within capital goods, we raise our stance to Overweight for AI infrastructure (on signs of stability in electric power infrastructure) and IT services, as well as for trading companies (improving capital efficiency) and machinery (Figure 5).

Figure 1: TOPIX price target



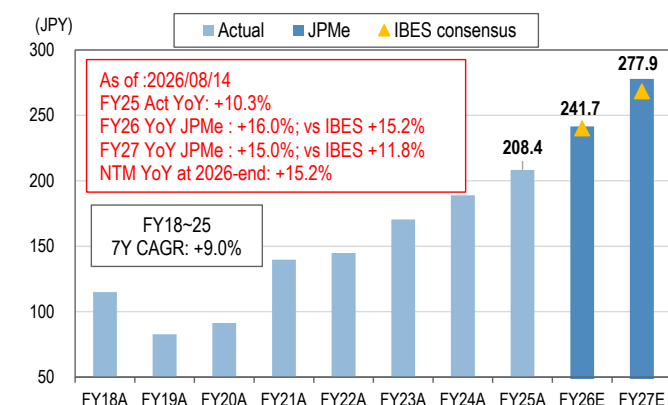
Source: Bloomberg Finance L.P., J.P. Morgan estimates

Figure 2: 2026 year-end Japanese equities outlook

NT ratio: 16.3x	FY26-end			TOPIX 12-month forward PER (x)				
	YoY	EPS	NTM EPS	16.0x	16.5x	17.0x	17.5x	18.0x
EPS growth in FY2026 and FY-end NTM EPS (expect NTM growth of 15% at FY-end)	+20%	250	278	4,450 pt 72,500 Yen	4,600 pt 75,000 Yen	4,750 pt 77,500 Yen	4,850 pt 79,500 Yen	5,000 pt 81,500 Yen
	+18%	246	273	4,350 pt 71,500 Yen	4,500 pt 73,500 Yen	4,700 pt 76,000 Yen	4,800 pt 78,000 Yen	4,900 pt 80,000 Yen
	+16%	242	269	4,300 pt 70,000 Yen	4,450 pt 72,500 Yen	4,600 pt 75,000 Yen	4,700 pt 76,500 Yen	4,850 pt 79,000 Yen
	+14%	238	264	4,250 pt 69,000 Yen	4,350 pt 71,000 Yen	4,500 pt 73,500 Yen	4,600 pt 75,500 Yen	4,750 pt 77,500 Yen
	+12%	233	259	4,150 pt 67,500 Yen	4,300 pt 70,000 Yen	4,450 pt 72,500 Yen	4,550 pt 74,000 Yen	4,650 pt 76,000 Yen
	+10%	229	255	4,100 pt 66,500 Yen	4,200 pt 68,500 Yen	4,350 pt 71,000 Yen	4,450 pt 72,500 Yen	4,600 pt 75,000 Yen

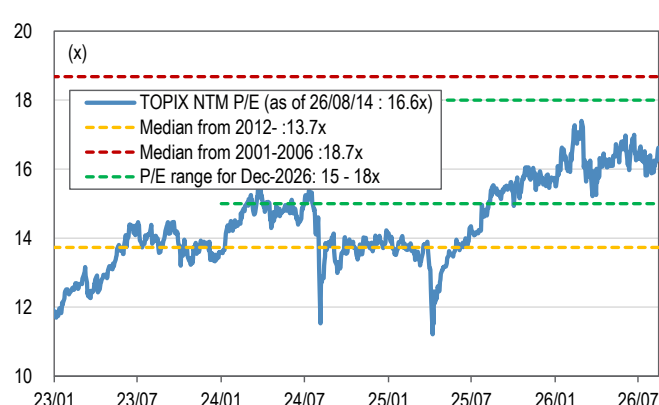
Source: J.P. Morgan estimates Note: Orange shading indicates the target stock price for end-2026

Figure 3: TOPIX EPS estimates



Source: Datastream, J.P. Morgan estimates
Note: CAGR is calculated from FY2018 to FY2025. EPS consensus is IBES.

Figure 4: TOPIX P/E estimates



Source: Datastream, J.P. Morgan estimates Note: NTM P/E is IBES consensus.

Figure 5: Sector allocation

GICS 11 Sector	Energy	Materials	Industrials	Consumer Discretionary	Consumer Staples	Health Care	Financials	Information Technology	Comm. Services	Utilities	Real Estate
GICS 25 Industry Groups	Energy	Materials	Capital Goods	Automobiles & Components	Consumer Staples Distr. & Retail	Health Care Equip. & Serv.	Banks	Software & Services	Telecom Serv.	Utilities	Real Estate
			Commercial & Prof. Serv.	Consumer Durab. & Appar.	Food, Beverage & Tobacco	Pharms., Biotech. & Life Sciences	Financial Services	Tech. Hardware & Equip.	Media & Entertainment		
			Transportation	Consumer Services	Household & Personal Products		Insurance	Semicon. & Semicon. Equip.			
				Consumer Discr. Distri. & Retail							
Allocation	N	N	OW	N	UW	UW	OW	OW	OW	UW	N

Source: J.P. Morgan estimates

Summary of April-June results

Stronger-than-expected results and broader profit growth

April-June results at TOPIX companies significantly exceeded market expectations, with sales up 13.7% YoY, operating profit up 46.4% YoY, and net profit up 67.7% YoY (as of August 13, Figure 6). The ratio of companies with operating profit and net profit that exceeded Bloomberg consensus estimates reached 70%, a high level compared to the past five years. This earnings season saw profit growth drivers expand to a wide range of sectors. Electronics and precision instruments, supported by expanding demand for AI semiconductors, continued to deliver strong growth in operating profit (doubling YoY). In addition, many sectors reported significant growth in profit, including banks (+51% YoY), trading companies and wholesalers (+40%), materials and chemicals (+37%), and automakers (+35%), all contributing to overall profit growth for TOPIX constituents. The market is transitioning from a year of profit growth concentrated in AI semiconductors to a phase where profit improvement is spreading across a wide range of sectors. The yen depreciated by about 10% in April-June (from ¥144.5 in 2Q 2025 to ¥159.4 in 2Q 2026), but we estimate the positive impact on net profit from the weaker yen was only 5ppt (our estimate, a roughly ¥1 trillion boost to operating profit), and the bulk of profit growth appears to reflect real factors, such as companies passing on higher costs.

More companies raising guidance, but we still see upside

Companies also raised their guidance. TOPIX companies raised guidance for YoY growth in sales to +6.8%, operating profit to +26.6%, and net profit to +22.4% (initial guidance was +5.0%, +18.4% and +15.6%, respectively; Figure 7). Upward revisions were especially large for electronics and precision instruments (net profit +137.5%, up a notch from initial guidance), overseas demand-oriented sectors like automakers, machinery, steel & nonferrous metals, and materials & chemicals, and banks in the financial sector, while revisions for domestic demand-oriented sectors were limited. However, most companies still use conservative assumptions in guidance. The average JPY/USD rate assumed is in the ¥153/\$ range (Figure 8), and given current yen weakness and strong earnings momentum, we believe there is still room for revisions to guidance after 1H results.

Reacceleration in upward revisions to market consensus after start of earnings season

Upward revisions to the consensus estimate for TOPIX EPS (Figure 9: IBES, Figure 10: Bloomberg) are reaccelerating following the announcement of results. The IBES consensus estimate for EPS growth in FY2026 has risen to +15.2% YoY, an upward revision of about 5ppt over the past three months. For FY2027, the consensus estimate for EPS growth was also revised up slightly to the +11.8% range. By sector, upward revisions are spreading across electrical equipment, machinery, services, textiles, nonferrous metals, shipping, wholesale, banks, and securities. Meanwhile, automakers, steel, pulp & paper, oil & coal, and insurance saw downward revisions (Figure 11).

Figure 6: Earnings scorecard for Apr-Jun 2026

Sector summary (As of 08/13, vs Bloomberg consensus, quaterly)		Ann. Ratio		Ret vs TOPIX, %	YoY growth, contribution and margin change (%pt)							Guidance progress		Surprise (YoY results versus consensus; Sector median)					
					Prime comps YoY, sector contribution						OP Margin chg			Sales		OP		NP	
		# of comps	Mcap		1M	YoY	Sales	YoY	OP	YoY		NP	Sales progress	NP progress	Beat ratio	Beat pt	Beat ratio	Beat pt	Beat ratio
TOPIX comp.		98%	99%	3.39	13.7%	13.7%	46.4%	46.4%	67.7%	67.7%	📈2.56	24.7%	34.0%	69%	2.5%	72%	11.4%	72%	15.9%
Overseas demand-related/Manu.	Elec Appl. & Prec.	97%	100%	(0.23)	20.4%	2.1%	113.4%	13.0%	91.2%	12.2%	📈7.27	24.2%	27.7%	79%	4.2%	77%	19.4%	75%	23.7%
	Autos & Trans.	100%	100%	2.59	11.4%	1.9%	35.3%	4.0%	109.2%	11.8%	📈1.27	25.2%	52.5%	81%	4.0%	59%	8.4%	57%	15.9%
	Machinery	98%	100%	(0.67)	11.7%	0.4%	38.7%	1.6%	52.8%	2.1%	📈2.40	24.2%	29.7%	70%	2.4%	65%	15.4%	64%	15.0%
	Steel & Nonfer	97%	100%	6.02	25.3%	1.1%	613.4%	3.9%	3492%	5.2%	📈6.61	25.7%	34.7%	75%	6.5%	76%	20.8%	71%	37.5%
Domestic demand-related/Manu.	Raw. & Chem.	99%	100%	(4.23)	10.3%	0.6%	37.3%	2.0%	54.0%	2.5%	📈2.34	25.0%	31.8%	71%	4.1%	87%	26.1%	77%	24.2%
	Pharmaceutical	100%	100%	1.18	16.2%	0.3%	26.3%	0.8%	31.9%	1.1%	📈1.33	25.9%	39.7%	71%	3.5%	50%	5.9%	71%	12.7%
	Const. & Mater.	100%	100%	(7.71)	8.5%	0.4%	22.1%	0.8%	71.3%	2.6%	📈0.79	22.5%	29.6%	68%	1.9%	70%	16.5%	67%	17.6%
Domestic demand-related/Non-Manu.	IT & Service	96%	100%	2.15	8.4%	0.8%	24.0%	3.2%	25.6%	3.2%	📈6.00	24.4%	29.6%	58%	1.5%	72%	8.3%	71%	10.6%
	Retail Trade	95%	98%	(1.77)	6.6%	0.4%	21.7%	0.7%	22.1%	0.6%	📈0.71	24.6%	28.3%	55%	0.3%	67%	4.7%	65%	3.7%
	Foods	98%	98%	1.71	7.1%	0.2%	12.5%	0.2%	-1.8%	0.0%	📈0.30	24.6%	28.6%	58%	0.7%	62%	5.7%	67%	9.4%
	Transprt. & Logi.	100%	100%	(1.41)	12.4%	0.6%	0.8%	0.0%	-0.1%	0.0%	📉1.50	25.3%	30.0%	75%	1.9%	68%	2.4%	69%	9.7%
	Elec. Pwr. & Gas	100%	100%	(1.28)	8.1%	0.3%	-56.6%	-2.4%	-	5.7%	📉5.70	22.4%	37.8%	57%	0.3%	58%	8.4%	80%	27.3%
	Real Estate	100%	100%	(8.91)	1.0%	0.0%	6.1%	0.2%	10.7%	0.3%	📈0.89	22.6%	29.5%	29%	-0.6%	88%	18.4%	81%	17.5%
Energy-related	Comm. & Whole.	99%	100%	4.13	20.0%	3.0%	39.8%	2.3%	31.9%	3.5%	📈0.48	25.5%	30.7%	88%	4.4%	70%	16.0%	79%	21.1%
	Energy Reso.	100%	100%	(0.03)	17.3%	0.3%	1226%	4.9%	2264%	5.8%	📈0.12	26.3%	117.7%	75%	2.7%	75%	11.5%	75%	24.7%
Financials	Banks	99%	100%	(0.34)	27.8%	0.7%	50.9%	7.8%	41.0%	6.7%	📈0.01	-	30.7%	83%	9.8%	100%	22.6%	96%	27.2%
	Fin ex Bank	93%	81%	(1.50)	13.3%	0.6%	45.3%	3.3%	57.3%	4.3%	📈1.83	27.1%	34.5%	74%	2.9%	76%	10.5%	90%	17.4%
Simple average sector return	Overseas demand	98%	100%	1.93	15.8%	5.6%	81.7%	22.5%	110.4%	31.3%	📈3.94	24.9%	36.9%	77%	4.3%	71%	16.0%	69%	23.0%
	Domestic demand	98%	100%	(2.25)	8.7%	3.5%	12.8%	5.6%	44.0%	16.0%	📈1.73	24.2%	30.9%	61%	1.5%	72%	10.7%	71%	14.7%
	Defensive	98%	99%	(0.31)	9.1%	1.7%	-3.2%	-0.6%	58.4%	7.4%	📉0.81	24.6%	32.4%	62%	1.3%	63%	5.4%	68%	12.6%
	Cyclical	98%	98%	0.12	16.7%	10.2%	69.0%	41.0%	78.1%	52.0%	📈3.10	25.0%	35.6%	76%	4.0%	73%	15.9%	76%	22.2%

Source: Bloomberg Finance L.P., J.P. Morgan

Note: Progress is quarterly only. Beat, miss are versus Bloomberg consensus. Only companies with fiscal year-end in February or March.

Figure 7: FY2026 corporate guidance by sector

FY2026 Guid. vs Act YoY (as of 2026/08/13)	Sales		Operating Profit		Net Profit	
	Initial YoY	Current YoY	Initial YoY	Current YoY	Initial YoY	Current YoY
TOPIX	5.0%	6.8%	18.4%	26.6%	15.6%	22.4%
TOPIX ex. Elec Pwr. & Gas, Autos	5.1%	6.7%	21.3%	29.1%	17.6%	23.8%
Auto, Transport Equip	4.1%	7.3%	10.4%	23.6%	9.7%	24.0%
Machinery	5.1%	6.3%	3.6%	13.5%	7.9%	12.5%
Electronic, Precision	7.7%	11.8%	4.9%	97.8%	10.1%	37.5%
Steel & Nonferrous	8.4%	13.8%	1.7%	80.1%	11.2%	44.7%
Food	4.1%	4.3%	2.4%	12.6%	-2.0%	-0.8%
Retail Trade	5.7%	7.3%	9.8%	11.2%	4.9%	5.9%
Real Estate	7.8%	7.9%	7.2%	7.4%	5.4%	5.8%
Transport & Logistics	5.3%	6.3%	5.1%	12.8%	12.2%	-7.0%
Construction, Material	6.2%	6.3%	12.3%	10.4%	-6.1%	-1.2%
IT & Services	4.2%	4.5%	7.5%	9.8%	1.0%	3.8%
Pharmaceutical	6.2%	6.3%	49.5%	49.8%	34.0%	33.1%
Electric Power & Gas	7.7%	8.1%	23.7%	23.7%	23.9%	23.9%
Energy Resources	8.4%	8.5%	14.8%	15.5%	17.0%	17.8%
Raw Material, Chemicals	5.7%	3.3%	24.0%	25.1%	22.3%	23.7%
Wholesale Trade	5.0%	7.5%	5.1%	10.0%	10.0%	11.7%
Banks	2.6%	4.2%	-	-	10.9%	12.8%
Financials ex Banks	-12%	-12.6%	0.3%	16.5%	4.1%	5.7%

Source: QUICK, Bloomberg Finance L.P., J.P. Morgan Note: Includes only TSE Prime companies that have announced guidance with Feb and Mar as FY-end. Including Kioxia Holdings' quarterly guidance on an annualized basis.

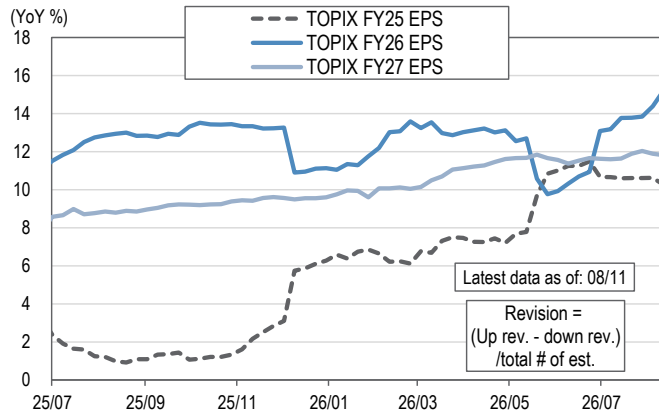
Figure 8: Corporate USDJPY guidance by sector

As of 2026/08/13	FY2025				FY2026	
Est.FY, ann. Period	Initial	25Q1	25Q2	25Q3	Initial	26Q1
TOPIX coms. avg	144.3	144.3	145.8	147.5	151.9	153.2
Cons. Staples	148.8	148.4	148.1	148.7	152.9	154.4
Industrials	143.4	143.5	145.3	146.9	151.0	152.6
Cons. Discretionary	143.4	143.7	145.3	147.2	152.1	153.1
Real Estate	150.0	150.0	147.5	147.5	150.0	150.0
Materials	145.0	144.9	146.8	148.5	152.7	154.3
Energy	145.4	146.2	146.6	147.4	154.1	155.1
Utilities	147.3	146.3	147.7	150.2	157.4	158.3
Inf. Technology	142.5	142.7	144.6	146.9	150.7	151.9
Comm. Services	147.9	146.9	147.4	148.5	153.8	153.8
Health Care	143.7	144.1	145.3	147.4	151.7	152.7
Financials	144.7	144.0	144.4	144.7	150.8	150.8
Actual USDJPY (avg)	144.6	147.4	154.0	156.9	159.4	161.2

Source: QUICK, Bloomberg Finance L.P., J.P. Morgan

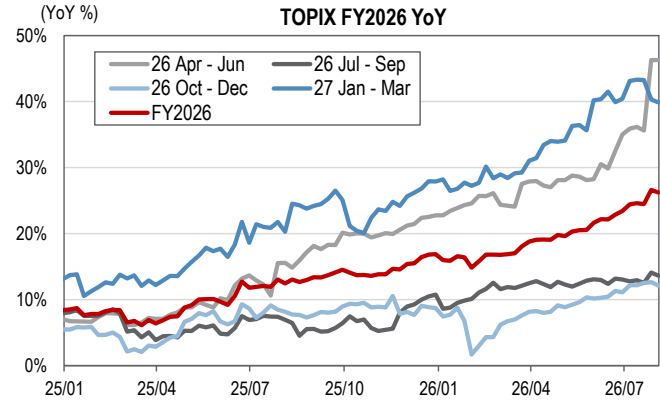
Note: Includes only companies that have announced USDJPY guidance

Figure 9: TOPIX EPS estimates



Source: Datastream, J.P. Morgan
Note: IBES consensus EPS

Figure 10: TOPIX quarterly consensus EPS estimates



Source: Datastream, J.P. Morgan
Note: Estimates are Bloomberg consensus

Figure 11: TOPIX 33 sector EPS and valuation

Updated: 2026/8/14		Perf.	Wgt	FY2025		FY2026				FY2027				FY2028				12m forward			
Units:		2026 YTD (%)	Weight in TOPIX (%)	Mixed		Forecast				Forecast				Forecast				Forecast			
EPS: JPY				EPS	yoy%	EPS	yoy%	1M rev %	3M rev %	EPS	yoy%	1M rev %	3M rev %	EPS	yoy%	1M rev %	3M rev %	P/E (x)	P/B (x)	ROE (%)	Div. Yld(%)
YoY, revision: %, ppt																					
TOPIX		21.4	100.0	208.4	10.3	240.0	15.2	1.1	5.0	268.4	11.8	0.2	0.1	297.6	10.9	0.5	2.3	15.7	1.6	10.4	2.3
Overseas demand	Electric Appliances	38.8	20.9	250.1	9.9	374.9	49.9	4.2	23.2	448.2	19.5	0.9	4.5	518.8	15.8	1.4	3.2	20.5	2.9	14.2	1.3
	Transportation Equipment	-4.8	5.0	295.1	-33.7	431.5	46.2	-1.4	8.0	521.7	20.9	-0.6	-0.4	584.2	12.0	0.9	9.5	10.0	0.8	7.8	3.6
	Machinery	21.6	6.0	194.4	5.6	232.6	19.6	2.3	7.5	263.9	13.5	0.2	-0.9	294.4	11.6	0.3	5.5	20.3	2.2	11.0	1.7
	Precision Instruments	16.9	1.8	440.0	1.0	559.4	27.1	1.7	2.0	642.9	14.9	-0.3	0.2	720.7	12.1	0.4	2.4	24.2	3.2	13.3	1.5
	Iron & Steel	5.7	0.7	35.5	-55.8	72.2	103.7	-14.6	-29.2	84.0	16.2	5.6	10.2	88.9	5.9	1.3	1.5	10.4	0.6	5.8	3.8
	Rubber Products	16.5	0.6	439.2	22.6	496.4	13.0	-0.1	1.3	555.8	12.0	-0.2	-1.5	621.9	11.9	-0.5	0.3	11.4	1.1	10.0	3.7
Domestic demand	Retail Trade	4.9	4.0	91.0	19.0	98.2	7.9	0.3	2.7	107.0	9.0	0.4	-1.1	118.1	10.4	0.3	1.8	23.3	2.3	10.0	1.6
	Foods	20.8	2.8	125.1	7.6	175.5	40.3	3.3	2.9	166.7	-5.0	0.9	-1.1	182.4	9.4	0.1	1.1	16.6	1.7	10.5	2.9
	Land Transportation	-2.9	1.8	180.5	-3.2	183.4	1.6	-0.1	0.3	193.7	5.6	0.2	-0.4	201.8	4.2	0.2	1.5	11.9	1.0	8.2	2.4
	Air Transportation	3.9	0.3	27.1	16.4	18.9	-30.4	-0.4	0.5	24.9	31.7	0.2	1.7	26.8	7.8	1.4	1.4	11.5	1.0	8.3	2.6
	Services	37.1	3.8	99.9	-1.4	168.0	68.2	1.7	7.2	202.0	20.2	-0.5	2.3	236.4	17.0	0.2	1.3	20.8	2.5	12.0	1.3
	Construction	-5.3	2.0	220.9	27.4	213.9	-3.2	0.3	-0.7	231.6	8.3	0.6	0.2	256.8	10.9	0.4	-0.8	11.6	1.3	11.3	3.5
	Electric Power & Gas	0.8	1.2	50.2	-44.8	71.4	42.2	-1.0	-0.3	76.1	6.6	1.3	3.0	83.5	9.7	0.0	1.1	9.1	0.7	7.2	2.7
	Pharmaceutical	4.3	3.3	189.5	26.2	203.8	7.6	-0.3	1.2	236.1	15.8	1.1	6.8	247.3	4.8	5.3	1.0	17.4	1.6	9.1	3.1
	Information & Communication	5.8	6.3	676.8	92.1	383.6	-43.3	0.6	0.4	414.2	8.0	0.1	1.1	457.5	10.5	0.2	1.1	19.3	1.8	9.2	2.0
	Fishery, Agriculture & Forestry	4.0	0.1	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	Glass & Ceramics Products	34.5	0.8	124.8	214.5	136.0	9.0	1.4	3.2	164.8	21.1	0.0	3.6	189.6	15.1	0.1	1.1	15.5	1.3	8.5	2.4
	Textiles & Apparels	20.5	0.3	31.4	-28.0	66.6	112.2	2.3	1.2	68.5	2.8	1.5	1.1	81.4	18.8	1.0	19.3	13.9	1.0	7.0	2.8
	W/Housing&Transpt	8.6	0.1	328.3	26.7	260.2	-20.7	0.2	0.8	286.5	10.1	-0.2	1.6	274.4	-4.2	1.0	4.8	17.7	1.3	7.4	3.0
	Pulp & Paper	11.3	0.1	45.1	23.1	41.6	-7.8	-1.3	-39.9	57.4	38.0	3.4	19.1	61.8	7.8	2.6	6.1	14.1	0.6	4.1	3.3
	Other Products	-1.2	2.1	291.1	21.5	297.3	2.1	0.4	-1.1	339.4	14.1	0.1	1.5	369.1	8.8	0.5	1.7	18.9	2.3	12.2	2.2
	Metal Products	25.2	0.5	88.9	-5.0	84.6	-4.8	2.3	1.0	119.2	40.8	0.2	5.6	147.0	23.4	2.2	21.8	19.2	1.3	6.8	2.7
	Nonferrous Metals	75.2	2.4	241.8	94.9	282.2	16.7	3.1	12.9	318.1	12.7	2.1	0.9	373.0	17.2	0.5	7.1	18.3	2.6	14.0	1.8
Resource	Mining	19.3	0.3	97.9	-11.5	122.0	24.6	-0.5	7.8	117.6	-3.6	1.2	-0.6	115.4	-1.9	2.3	2.6	8.6	0.8	9.0	3.4
	Oil & Coal Products	12.3	0.5	230.9	33.2	295.4	28.0	-14.7	1.6	267.0	-9.6	8.5	-0.5	300.9	12.7	0.4	0.8	9.6	0.9	9.3	3.3
	Chemicals	24.5	4.6	139.3	-2.3	180.0	29.2	-0.1	1.7	203.3	13.0	0.0	-0.1	227.4	11.9	0.3	3.6	16.0	1.5	9.3	2.4
	Marine Transportation	27.0	0.6	199.0	-51.1	195.7	-1.7	5.3	10.4	183.5	-6.2	3.6	34.5	196.9	7.3	1.3	0.2	11.8	0.8	6.6	3.7
	Wholesale Trade	18.1	7.5	356.5	0.2	413.0	15.8	1.3	5.8	433.6	5.0	-0.4	-1.7	467.2	7.7	0.4	2.1	13.8	1.6	11.8	2.6
Financials	Banks	44.4	12.3	43.5	29.3	50.6	16.1	2.4	8.3	56.7	12.2	0.0	-0.3	61.8	9.0	0.7	1.9	13.4	1.4	10.8	2.7
	Insurance	31.8	3.6	313.4	10.5	294.6	-6.0	-1.7	1.5	332.4	12.9	2.6	5.8	361.0	8.6	1.8	7.2	12.9	1.5	11.7	3.5
	Secu & Comdty Futs	14.9	1.0	99.5	43.1	89.4	-10.1	8.4	11.4	90.6	1.3	-3.5	1.2	94.6	4.5	3.0	1.9	10.5	1.1	10.7	4.1
	Real Estate	-7.0	1.6	176.9	11.3	195.6	10.6	1.0	2.7	206.8	5.7	-0.8	-2.2	224.4	8.5	0.0	2.7	12.2	1.3	10.5	2.7
	Other Financing Business	26.2	1.2	102.7	14.1	141.5	37.9	2.3	30.4	125.0	-11.7	-0.8	-20.9	136.6	9.2	1.9	1.7	11.8	1.4	11.6	3.4

Source: DataStream, J.P. Morgan
Note: Estimates are IBES consensus estimates.

Share price reactions led by AI-related and guidance revisions

Post-earnings share price reactions showed a slightly higher proportion of negative responses than usual (Figure 12). Share price reactions for companies that beat earnings stayed in positive territory, but changes to full-year guidance and long-term growth narratives appear to have influenced share price movements. Recruit, Panasonic Holdings, Advantest, NEC, TDK, Tokyo Electron, Hitachi, and Murata Manufacturing ranked among the top gainers in post-earnings share price performance. Investors reacted positively to the strengthening of future profit growth scenarios driven by expanding AI-related demand, data center investment, power infrastructure, and defense and IT services, as well as the increased certainty that AI monetization will contribute to longer-term corporate growth. In contrast, Lasertec, Shin-Etsu Chemical, Denso, Daiichi Sankyo, Fujifilm, and NRI were among companies that saw share prices decline. Many of these companies did not report poor earnings. In fact, several posted results in line with or above market expectations. However, high market expectations prior to earnings announcements, unchanged guidance, and lingering uncertainty in the outlook appear to have triggered profit-taking among investors. See Figure 17 and Figure 18 for a list of stocks with significant post-results share price reactions.

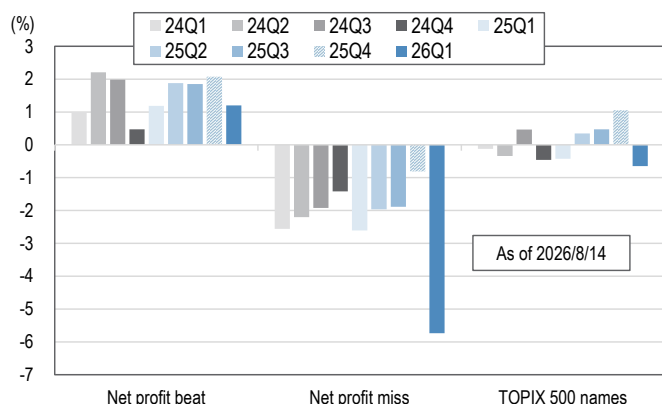
Shareholder returns continue to support Japanese equities

Share buybacks announced since July have totaled ¥12.7 trillion, near record highs (Figure 13). Major share buybacks included Toyota Motor (¥1 trillion), Kioxia Holdings (¥800 billion), Seven & i Holdings (¥400 billion), Itochu (¥300 billion), HOYA (¥200 billion), Mitsui & Co. (¥200 billion), INPEX (¥140 billion), and Marubeni (¥100 billion) (Figure 16). The number of companies increasing DPS remained high as managements continued to focus on improving ROE and capital efficiency. Trading companies in particular are accelerating control of equity capital.

Robust earnings at US and European companies

In the S&P 500, 78% of companies that have reported beat Bloomberg consensus estimates for EPS. EPS grew by 53% YoY, exceeding the Bloomberg consensus by 31ppt, and revenue grew by 14.8% YoY, 4ppt above expectations (see [Dubravko's report dated August 10](#)). In Europe's Stoxx 600, 63% of companies that have reported beat EPS estimates, and EPS grew by 23% YoY, 5ppt above consensus, indicating solid results overall (see [Mislav's report dated August 7](#)). Japanese corporate earnings were strong even compared with US and European companies (Figure 15).

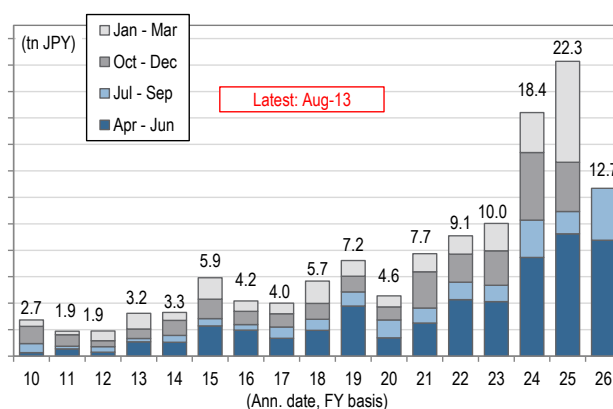
Figure 12: Share price reaction following quarterly earnings



Source: Bloomberg Finance L.P., J.P. Morgan

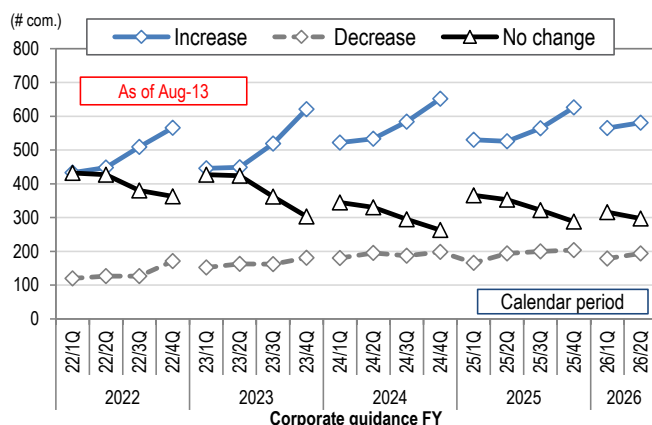
Note: Median of one-day post-earnings returns relative to TOPIX for TOPIX 500 constituents

Figure 13: Amount of TOPIX share buyback announcements



Source: QUICK, J.P. Morgan

Figure 14: Dividend policy of TOPIX names (versus previous actual)



Source: QUICK, J.P. Morgan

Figure 15: Japan, US, and Europe earnings snapshot

As of 2026/08/13	Japan Equity ToPIX	US Equity S&P500	Euro Equity STOXX Euro 600
% cos. Reported	98%	87%	78%
% cos. beating EPS consensus	72%	78%	63%
EPS %y/y	68%	53%	23%
% cos. beating sales consensus	69%	76%	64%
Sales %y/y	14%	15%	10%

Source: Bloomberg Finance L.P., J.P. Morgan Note: Bloomberg consensus

Figure 16: Major TOPIX companies that have announced share buybacks (since July 2026)

As of 2026/08/13; TOPIX companies with buyback announced amount at least 30 bil JPY												
Code	Company name (ENG)	Announcement date	Actual PBR (x) as of anno. date	Latest actual PBR (x)	12M actual ROE (%) as of anno. date	Latest 12M actual ROE (%)	Buyback announced shares (limit, mil shares)	Buyback announced amount (limit, bil JPY)	Market cap (bil JPY) as of 08/13	Buyback announced amount to market cap (%) as of 08/13	Stock price reaction fater announcement	
7203	TOYOTA MOTOR CORP	8/4/2026	0.93	0.95	12.23	12.23	500.0	1,000	43,566	4.2%	-3.8%	
285A	KIOXIA HOLDINGS CORP	7/31/2026	10.60	11.37	-	-	30.0	800	28,387	5.5%	24.3%	
3382	SEVEN & I HOLDINGS CO LTD	7/31/2026	1.32	1.29	8.15	8.15	210.0	400	4,753	10.4%	-7.5%	
8001	ITOCHU CORP	8/3/2026	2.06	2.16	14.55	14.55	190.0	300	16,467	2.7%	-0.7%	
7741	HOYA CORP	7/31/2026	8.13	8.57	26.81	26.81	10.0	200	8,893	3.0%	5.8%	
8031	MITSUI & CO LTD	8/4/2026	1.52	1.55	11.30	11.30	60.0	200	14,020	2.1%	-5.7%	
5105	TOYO TIRE CORP	8/7/2026	1.01	1.05	11.62	11.62	32.0	157	585	20.8%	-11.1%	
1605	INPEX CORP	8/7/2026	0.80	0.85	8.95	8.95	50.0	140	4,659	4.3%	3.3%	
8002	MARUBENI CORP	8/3/2026	1.87	1.83	14.30	14.30	40.0	100	8,257	2.4%	-4.0%	
8308	RESONA HOLDINGS INC	7/31/2026	1.63	1.75	9.26	9.26	30.0	50	5,644	1.3%	3.0%	
2579	COCA-COLA BOTTLERS JAPAN HOL	7/30/2026	2.00	1.75	5.35	5.35	14.0	40	685	8.4%	-17.4%	
6326	KUBOTA CORP	8/4/2026	1.04	1.09	10.31	10.31	18.0	40	3,131	1.6%	-5.7%	
5831	SHIZUOKA FINANCIAL GROUP INC	8/6/2026	1.36	1.41	8.20	8.20	10.0	30	2,019	1.9%	5.3%	
6724	SEIKO EPSON CORP	8/5/2026	1.12	1.16	2.97	2.97	17.0	30	1,179	5.3%	3.0%	
6770	ALPS ALPINE CO LTD	7/31/2026	0.97	0.96	6.18	6.18	20.0	30	459	10.3%	-7.1%	

Source: QUICK, Bloomberg Finance L.P., J.P. Morgan

Notes: Stock price reaction is the change of closing price from 1 business day before buyback announcement to 1 business day after announcement.

Figure 17: Earnings comments on JPM covered TOPIX 100 names (Stocks up at least 5% post-earnings)

Code	Company name	Release date	Price reaction	Earnings comments by JPM analyst
6098	RECRUIT HOLDINGS CO LTD	8/7	25.8%	Positive: 1Q operating profit was ¥255.4 billion, well above our estimate of ¥211.9 billion and the Bloomberg consensus estimate of ¥198 billion. Following on from 4Q, we view the results very positively. 1Q US ARPJ (average revenue per job posting) in the HR technology US business rose 35% YoY (our estimate: +23%). Management raised FY2026 US ARPJ growth guidance to 30% YoY (our estimate: +20%), which we view as a conservative minimum target at this point. The company is entering a new founding phase leveraging AI. We view the high, accelerated growth rate very positively. (Junko Yamamura)
7832	BANDAI NAMCO HOLDINGS INC	8/6	22.5%	Positive: 1Q operating profit grew 33% YoY to ¥69.2 billion, well above our estimate of ¥45.6 billion and the Bloomberg consensus estimate of ¥42.7 billion. Even stripping out the ¥3.5 billion reciprocal tariff refund, we see the results as positive. The toy business in particular did well, with Mobile Suit Gundam, One Piece, and a range of other products all selling strongly in Japan and overseas. High-margin products also sold well, among them trading card games, and the segment's operating margin improved considerably to 28% (versus our estimate of 18.7% and 19.5% a year earlier). (Junko Yamamura)
6752	PANASONIC HOLDINGS CORP	7/30	22.2%	Positive: 1Q operating profit was ¥182.5 billion (Bloomberg consensus estimate ¥125.8 billion, ours ¥145 billion), and management raised full-year guidance from ¥550 billion to ¥590 billion (Bloomberg consensus estimate ¥586.9 billion, ours ¥600 billion). While the energy business (including BBU and automotive batteries) met expectations, FA-related products and mounters exceeded expectations, driven by growing AI data center investment. For the full year, we note downside risks for home appliances and air conditioning and the significant 1Q restructuring effects relative to full-year guidance. Nevertheless, we have a positive impression, as we did not expect the upward revision of full-year guidance this time. (Junya Ayada)
7733	OLYMPUS CORP	8/7	12.1%	Positive: Olympus reported 1Q results August 7. Operating profit of ¥29 billion beat the Bloomberg consensus estimate of ¥11.9 billion, supported by strong sales in North America and low one-time costs. The order backlog increased in FY2025 as production was unable to keep pace with demand for high-margin extended depth of field (EDOF) scopes released in the US in May 2025, and we believe this contributed to gross margin growth in 1Q. Restructuring benefits also contributed. FDA compliance progress is unchanged. Some SG&A expenses were delayed until 2Q onward, and as Olympus also expects to incur one-time costs, it maintained FY2026 guidance. However, we expect the share price to react positively. (Naoko Saito)
4452	KAO CORP	8/5	11.8%	Positive: 2Q operating profit of ¥50.9 billion exceeded our estimate of ¥39.2 billion. Even excluding the ¥3.8 billion in restructuring costs we had assumed, profits beat our estimate by ¥7.9 billion. The chemical and global consumer care (GC) segments overshot by ¥5.8 billion and ¥1.7 billion, respectively. We are positive on the GC segment's ability to raise prices while growing volumes, as well as its continued overseas sales growth. Management raised full-year operating profit guidance from ¥182 billion to ¥190 billion (our estimate: ¥183 billion). (Akiko Kuwahara)
6981	MURATA MANUFACTURING CO LTD	7/31	11.6%	Positive: 1Q operating profit beat the Bloomberg consensus, and we believe it also met buy-side expectations. Murata raised FY2026 guidance on an overshoot for MLCCs, mainly AI server applications, but guidance seems cautious overall. Murata is considering some price hikes for distributors, but its strategy for major customers is still unclear. Overall, we see many uncertainties for MLCCs and think a confirmation of details may be needed. Earnings: 1Q operating profit of ¥98.5 billion (one-time factors +¥1 billion) beat our estimate of ¥86.5 billion and the Bloomberg consensus estimate of ¥90.5 billion. Although some stock market participants had expected operating profit to surpass ¥100 billion, we think profits were at an adequate level. Murata assumes a forex rate of ¥155/\$ from 2Q (FY2026 assumption changed from ¥150/\$ to ¥156/\$), and raised FY2026 operating profit guidance from ¥380 billion to ¥430 billion (Bloomberg consensus estimate: ¥433.3 billion) and 1H guidance from ¥177 billion to ¥202 billion (2Q guidance: ¥103.5 billion). Murata raised full-year guidance by ¥150 billion for sales but only ¥50 billion for operating profit, noting that it factors in higher raw material costs (including precious metals), fixed costs, and manufacturing outsourcing costs. However, we think guidance seems cautious overall, including profit levels in 2Q. We think operating profit of ¥480–500 billion is well within reach assuming a forex rate of around ¥160/\$. (Akinori Kanemoto)
6701	NEC CORP	7/29	11.4%	Somewhat positive: NEC reported 1Q non-GAAP operating profit of ¥74.7 billion (our estimate ¥39.0 billion) and raised full-year guidance by ¥10 billion to ¥430 billion (¥460 billion). We think the consensus 1Q estimate was also in line with our forecast, so the result was well above market expectations. We believe the timing of expense recognition and other items were also a factor, and need to examine scope for further upside to full-year guidance. That said, sales and margin improvement in priority areas such as domestic IT services, national security, and submarine systems appear to be progressing well overall, and our impression is positive. (Junya Ayada)
4543	TERUMO CORP	8/7	11.4%	Somewhat positive: Terumo announced 1Q results on August 7. It recorded positives of ¥13 billion from US tariff refunds (affecting COGS) and ¥20 billion in other income in 1Q. Our impression is that all business segments performed well, and even excluding these two one-time factors, 1Q operating profit of ¥89.5 billion was slightly above the consensus estimate (Bloomberg consensus ¥54.6 billion). Terumo has revised up FY2026 operating profit guidance sharply, incorporating the two one-time factors, but full-year guidance excluding these is unchanged. We expect only a small rise in the share price. (Naoko Saito)
8035	TOKYO ELECTRON LTD	7/30	11.0%	Somewhat positive: Tokyo Electron (TEL) reported 1Q operating profit of ¥211.4 billion (+3% QoQ; Bloomberg consensus estimate: ¥211.4 billion; our estimate: ¥244 billion) and raised 1H guidance from ¥431 billion to ¥458 billion. We believe this suggests potential for FY2026 operating profit of ¥1 trillion (+60% YoY; ¥948.5 billion; ¥975 billion), which we view as in line with heightened market expectations. TEL is carefully optimizing prices to respond to increases in various costs and expects to see significant benefits in 4Q. We believe the gross margin could also reach 50% as soon as FY2027. TEL aims for growth that outpaces the WFE market via broad-based market share growth. (Mio Shikanai)

6762	TDK CORP	7/31	10.0%	Positive: There were considerable stock market concerns about weak earnings because of factors such as soft smartphone and notebook PC demand, but we believe strong 1Q results have dispelled these. Rising demand for AI server applications, demand recovery for industrial equipment/automotive applications, and powerful execution in secondary batteries contributed. Improved margins in operating units across the board driven by business portfolio reforms also had an impact. Full-year operating profit guidance is unchanged, but we see scope for substantial upside. Results: TDK reported 1Q sales of ¥741 billion and operating profit of ¥86.3 billion (including ¥2.6 billion in gains on the transfer of its new EV power supply development business), with operating profit well above our ¥67.4 billion estimate and the Bloomberg consensus estimate of ¥67.8 billion. Guidance is unchanged. 1Q results were slightly above our estimates in passive components and magnetic application products, and substantially above in sensor application products and energy application products. Strength in AI data center server capacitors and in HDD heads/suspension assemblies was amplified by recovery in areas such as components, sensors and power supplies for industrial equipment, as well as in automotive market components, and by the impact of new products and cost pass-throughs for sharply higher raw material prices in secondary batteries. TDK has not revised full-year operating profit guidance, but we think 2Q operating profit could grow to as much as ¥120–130 billion, including secondary battery business seasonality, and see potential for a major overshoot of full-year guidance. (Akinori Kanemoto)
6857	ADVANTEST CORP	7/29	9.5%	Positive: 1Q operating profit of ¥190 billion (+24% QoQ; Bloomberg consensus estimate ¥159.2 billion; our estimate ¥175 billion) and revised FY2026 guidance of ¥846 billion (+69% YoY; previously ¥627.5 billion; Bloomberg consensus estimate ¥708.5 billion; our estimate ¥778 billion) were both well above market expectations. Tester demand is growing not only for GPUs but also for custom ASICs and CPUs for AI inference computing, and Advantest plans to accelerate production capacity expansion. Advantest maintains a dominant market share in the SoC tester market, and emphasized that it sees potential for raising market share above 70%. (Mio Shikanai)
5108	BRIDGESTONE CORP	8/7	8.3%	Positive: Adjusted operating profit in 2Q was ¥158.7 billion, well above our estimate. Demand was weak in the US passenger car radial (PSR) tire market, but Bridgestone was able to grow its market share thanks to its multi-brand strategy, and the operating margin in the premium tire business rose to 15.3% in 2Q. We see the results as positive, given both growth in market share and an improvement in margins in a tough market environment. Full-year guidance was left unchanged, but given growth in Bridgestone's share of the US PSR tire market and the possibility of a recovery in demand for truck/bus radial (TBR) tires, we see room to exceed guidance. (Akira Kishimoto)
7974	NINTENDO CO LTD	8/6	8.3%	Somewhat positive: 1Q operating profit of ¥142.6 billion was well above our estimate of ¥54.0 billion and the Bloomberg consensus estimate of ¥74.1 billion. However, accounting for the roughly ¥48 billion in reciprocal tariff refunds and a ¥22.2 billion boost from forex, operating profit does not appear to have diverged much from the Bloomberg consensus estimate. Key differences with our estimate included strong growth in software sales volume of 30.8% YoY to 43.3 million units (our estimate: 38.9 million units) and a solid Switch 2 gross margin (which we estimate at around 12% in 1Q). We have a somewhat positive view of these points. (Junko Yamamura)
6501	HITACHI LTD	7/29	7.5%	Positive: 1Q adjusted operating profit was ¥294.3 billion (Bloomberg consensus estimate and ours ¥250 billion). Management raised full-year guidance to ¥1,408 billion (Bloomberg consensus estimate ¥1,366.4 billion, ours ¥1,365 billion). The main driver of the 1Q overshoot and the upward revision of full-year guidance was the energy (power grids) business, where orders and profitability improvement exceeded expectations. Results were generally strong overall, including other businesses, but the initial guidance for energy could be viewed as conservative, and we also look for communication on further enhancing business value. (Junya Ayada)
7741	HOYA CORP	7/31	6.0%	Somewhat positive: Hoya reported results on July 31 at 13:30 JST, and the shares closed up 4% from the previous day (TOPIX +1%). 1Q operating profit of ¥82.4 billion (+24% YoY; Bloomberg consensus ¥78.1 billion; our estimate ¥81 billion) and newly disclosed 2Q guidance of ¥82.6 billion (+18%; ¥82 billion; ¥82 billion) were in line with expectations. Hoya's two core businesses (EUV blanks, HDD substrates) remained strong, and profitability in the life care segment improved on a contribution from the weak yen. With results, Hoya announced a share buyback for up to ¥200 billion and the start of a review of strategic options in the endoscope business, leaving a positive impression. (Mio Shikanai)
4503	ASTELLAS PHARMA INC	8/5	5.5%	Positive: Astellas Pharma reported results at 15:30 on August 5, with a briefing at 16:00. 1Q operating profit was ¥184.5 billion (+94.9% YoY; our estimate: ¥136.5 billion, Bloomberg consensus estimate: ¥131.4 billion), well above our estimate and the Bloomberg consensus estimate, and we expect a positive share price impact. Sales of core pharmaceuticals including Xtandi and Padcev grew solidly, and fixed costs were also firmly under control. While full-year results above guidance are factored into consensus estimates to some extent, we expect an even larger overshoot. It seems that the core operating margin could reach 30% already in FY2026 (core operating margin guidance: 27.9%). (Seiji Wakao)
2914	JAPAN TOBACCO INC	7/30	5.2%	Positive: 2Q FY2026 results and the scale of the upward revision to full-year guidance beat market expectations. Additionally, while many market observers expected no change to DPS guidance, management raised it from ¥242 to ¥272, well above our estimate of ¥260 and the Bloomberg consensus estimate of ¥256. We are once again impressed by the company's strong profit-generating capability backed by top-line growth. (Satoshi Fujiwara)
9432	NTT INC	8/6	5.0%	Neutral: NTT reported 1Q operating profit of ¥425.1 billion (+4.9% YoY; our estimate ¥423.9 billion; Bloomberg consensus estimate ¥411.9 billion) and adjusted EBITDA of ¥836.2 billion (+4.3%; ¥849.8 billion; ¥847.1 billion), in line with our estimates and the Bloomberg consensus estimates. Operating profit beat our estimate in the others segment on a concentration of real estate sale gains in 1Q, generally offsetting shortfalls in other business segments (NTT Docomo, NTT East/West, NTT Data). NTT said progress was in line with guidance, but our impression is that the earnings progress rate for overseas business at NTT Data needs to catch up. (Matthew Henderson)

Source: Bloomberg Finance L.P., J.P. Morgan

Note: Share price reaction is the change of closing price from 1 business day before earnings release to 1 business day after earnings release. Earnings comments from JPM analysts are quoted from each analyst's published reports.

Figure 18: Earnings comments on JPM covered TOPIX 100 names (Stocks down at least 5% post-earnings)

Code	Company name	Release date	Price reaction	Earnings comments by JPM analyst
6920	LASERTEC CORP	8/6	-19.8%	Somewhat positive: Lasertec reported FY6/26 operating profit of ¥105.3 billion (-14% YoY; Bloomberg consensus ¥106.7 billion; our estimate ¥104.9 billion) and issued FY6/27 guidance of ¥125.0 billion (+19% YoY; ¥138.1 billion; ¥123.9 billion). Order guidance of ¥300-400 billion (midpoint +47% YoY) is within the range of market expectations. However, demand has expanded for both DRAM and logic compared with three months ago, and Lasertec noted that it has received A300 inquiries from multiple DRAM mask shops, which gives us a positive impression.(Mio Shikanai)
4901	FUJIFILM HOLDINGS CORP	8/6	-15.5%	Negative: Fujifilm Holdings announced 1Q results at 15:30 August 12 and held a briefing at 16:40. The sharp downward revision of the outlook for the bio CDMO business was a negative surprise. Just six months after a CDMO briefing in February, new problems have emerged that increase uncertainty about the bio CDMO business reaching break-even in FY2027. Management now expects bio CDMO operating losses to widen to approximately ¥70 billion in FY2026 (previously ¥35-40 billion). Of the increase, it attributes approximately ¥20 billion to the unplanned shutdown of a small-to-medium-scale tank facility (antibodies), and approximately ¥10 billion to delays in the start-up of production after a technology transfer at a large tank facility in the US.(Seiji Wakao)
4307	NOMURA RESEARCH INSTITUTE LT	7/30	-14.7%	Neutral: Nomura Research Institute (NRI) reported 1Q sales of ¥210.5 billion (+7.5% YoY; our estimate ¥215.3 billion, Bloomberg consensus ¥204.9 billion) and operating profit of ¥41.7 billion (+12%, ¥41.4 billion, ¥41.5 billion). Changes to some segments make simple comparison with our estimates difficult, but progress in earnings was generally good, and the outlook for security countermeasure orders looks promising as the company broadens coverage from finance (its specialty) to 15 sectors. Overseas business was impacted by yen depreciation, but operating losses were kept to within our estimates, and our sense is that progress is on track to reach NRI's target of reaching break-even over the full year.(Matthew Henderson)
6902	DENSO CORP	7/31	-12.3%	Negative: 1Q operating profit was only ¥84.2 billion, 24% below our estimate and 23% below the Bloomberg consensus estimate. The main factors behind the undershoot in 1Q were high input costs and the recognition of quality costs, although capacity utilization was in line with expectations. An undershoot due to quality costs and high input costs does not strike us as out of the ordinary, but it does serve as a reminder of the continued risk posed by these items. Denso maintained FY2026 operating profit guidance of ¥500 billion, but the hurdle to achieving it seems to have risen slightly. Furthermore, some in the market had anticipated a share-buyback announcement, but there was none this time.(Akira Kishimoto)
4063	SHIN-ETSU CHEMICAL CO LTD	7/24	-11.8%	Somewhat negative: Shin-Etsu Chemical reported 1Q (April-June) FY2026 results and held a results briefing after the July 24 close. We expect results to have a somewhat negative impact on the share price as FY2026 operating profit guidance for ¥700 billion is 9.1% below the Bloomberg consensus average estimate, and earnings improvement in the North American PVC business is slower than the market expects. However, Shin-Etsu said silicon wafer demand has improved to a level where requested shipments exceed current capacity.(Yasuhiro Nakada)
6146	DISCO CORP	7/23	-11.2%	Neutral: 1Q operating profit was ¥49.0 billion (-17% QoQ), broadly in line with market expectations (Bloomberg consensus estimate: ¥48.6 billion; our estimate: ¥49.0 billion). Shipment value was ¥135.9 billion (our estimate: ¥133.2 billion), up 12% QoQ. Versus the company's guidance, equipment shipments came in about ¥3 billion below due to timing slippage, but this was offset by strength in consumables and other items. 2Q shipment value guidance, a key focal point, is ¥141.0 billion (+4% QoQ), broadly in line with the market's pre-results expectations (we estimate that at around ¥140 billion; our estimate: ¥119.2 billion). While the quarter delivered limited surprises, Disco mentioned it will maintain the headquarters-to-factory production support program at around 100 staff for the time being, given continued strong demand.(Mio Shikanai)
4568	DAIICHI SANKYO CO LTD	7/31	-11.0%	Neutral: 1Q operating profit was ¥85.1 billion (-12.0% YoY; our estimate: ¥95.2 billion, Bloomberg consensus estimate: ¥90.5 billion). The top line was solid, but operating profit missed the consensus estimate after restructuring expenses already reflected in guidance were posted. Management revised full-year guidance, raising it for the top line but cutting it for net profit. We find results disappointing, particularly with Enhertu performing strongly. The share price fell sharply on July 31, closing down 11.1% on the day (TOPIX: +1.29%), so we expect a neutral share price impact.(Seiji Wakao)
9020	EAST JAPAN RAILWAY CO	7/31	-10.4%	Neutral: 1Q operating profit grew 9.4% YoY to ¥125.5 billion (our estimate: ¥130.5 billion; Bloomberg consensus estimate: ¥124.4 billion). Progress was ahead of guidance, mainly due to railway revenue, but management left full-year guidance unchanged, including growth of 3.6% YoY to ¥429.0 billion in operating profit (our estimate: ¥436.7 billion; Bloomberg consensus estimate: ¥449.9 billion) and dividends per share of ¥84. The company apparently intends to monitor demand trends following fare revisions a little longer and may also consider front-loading expense recognition in the event of higher-than-expected sales, but we think progress raises the prospect of an upward revision at 1H results. The returns policy comprises a phased increase in the dividend payout ratio to 40% by FY2027 and flexible share buybacks.(Ryota Himeno)
3407	ASAHI KASEI CORP	7/31	-9.0%	Somewhat positive: 1Q FY2026 operating profit was ¥81.3 billion (+51.5% YoY), 27.0% above the Bloomberg consensus estimate. The North American homes segment continued to struggle, but this was offset by sales growth in the healthcare segment, demand growth in areas including electronics, and profit growth in the material segment due to an inventory receipt/payment difference in chemicals, leading to a record-high profit for 1Q. While FY2026 guidance is unchanged due in part to difficulty forecasting naphtha prices, solid results were confirmed, giving us a somewhat positive impression. The share price turned downward after the results announcement to close down 4.83% from the previous day (TOPIX: +1.29%), but we do not believe the results warranted such a drop.(Yasuhiro Nakada)
9022	CENTRAL JAPAN RAILWAY CO	7/31	-6.5%	Neutral: 1Q operating profit fell 0.9% YoY to ¥219.2 billion (our estimate: ¥222.6 billion; Bloomberg consensus estimate: ¥208.4 billion). Progress outpaced guidance, due mainly to railway revenue, but Central Japan Railway (JR Central) maintained FY2026 guidance for operating profit to decline 15.4% YoY to ¥702.0 billion (¥741.2 billion; ¥745.3 billion) and DPS of ¥32 (dividend payout ratio: 6.8%). Current demand is firm, and we expect JR Central to raise guidance when reporting 1H results. We also still see a potential catalyst from raising Shinkansen fares, which are still below their upper limit, and Green Car fares.(Ryota Himeno)
8604	NOMURA HOLDINGS INC	7/29	-6.4%	Positive: Nomura Holdings' 1Q FY2026 net profit of ¥145.6 billion was well above our estimate of ¥111.6 billion and the Bloomberg consensus estimate of ¥111.5 billion. Annualized ROE was also high at 15.4%. We think 1Q trends are unlikely to persist without any changes, given a pullback in equity income since July due to a market correction and seasonal factors and a prospective full-year increase in performance-based compensation. However, we think 1Q results were strong, supported by a good business environment.(Koki Sato)

6758	SONY GROUP CORP	7/31	-5.8%	Somewhat positive: 1Q operating profit was ¥476.5 billion (Bloomberg consensus estimate ¥355.7 billion; our estimate ¥350 billion). Management raised full-year guidance by ¥120 billion to ¥1,720 billion. We believe 1Q results included ¥50–60 billion of US tariff refunds, but even excluding this, earnings significantly overshot, mainly in the I&SS (CMOS image sensors) segment. The guidance revision reflects primarily tariff refunds and forex, and we believe it reflects almost none of the effective earnings overshoot. With Sony scheduled to release more major titles than usual in 2Q onward, we think the stock warrants attention.(Junya Ayada)
9983	FAST RETAILING CO LTD	7/9	-5.7%	Significant positive surprise: As in 1Q and 2Q, 3Q operating profit was a positive surprise at ¥213.7 billion, up 45.7% YoY and about ¥30 billion above our estimates as of April 24 of ¥180 billion and our assumption of the latest market expectation of around ¥185 billion. The upward revision to full-year guidance was also positive. The results confirmed continued strength in the domestic and overseas Uniqlo businesses, and we have a positive impression of GU. Given the 3Q results, we expect the market's earnings expectations to rise and the stock to perform well.(Dairo Murata)
4502	TAKEDA PHARMACEUTICAL CO LTD	7/30	-5.7%	Positive: Takeda Pharmaceutical reported results at 15:30 July 30, with a briefing at 19:00. Core operating profit was ¥358.9 billion, tracking well versus full-year guidance (31% progress). While yen weakness was a factor, key products led by Entyvio performed steadily. Management noted that results were in line with guidance, but if current momentum continues from 2Q onward, an upward revision to full-year guidance is possible. While the results are positive, the share price is approaching a high level of around ¥6,000, and from here we expect the extent of earnings upside and positive readouts from pipeline trials to be the key to further share price gains.(Seiji Wakao)
8002	MARUBENI CORP	8/3	-5.1%	Positive: Adjusted net profit (excluding one-time gains/losses) and core operating cash flow grew significantly in 1Q FY2026, and efforts to improve existing businesses are yielding benefits, which we view as positive. However, earnings trends in strategic platform businesses are still mixed. Marubeni announced an additional share buyback for ¥100 billion, which came sooner than we expected. We take a positive view of management's proactive stance on improving ROE.(Jiro Iokibe)
4519	CHUGAI PHARMACEUTICAL CO LTD	7/24	-5.0%	Neutral: Chugai Pharmaceutical reported results at 16:00 July 24, with a briefing at 17:00. 2Q operating profit was ¥160.9 billion (+17.7% YoY, our estimate ¥206.5 billion, Bloomberg consensus estimate ¥172.3 billion), and core operating profit was ¥165.8 billion (+25.1% YoY, ¥209.5 billion, no Bloomberg consensus estimate). The results confirmed good progress toward upside to full-year guidance. Management said the results were in line with plan, but export sales appear to be progressing well, and we think they could become a factor driving upside to the full-year plan. With the stock market focused on Founday's sales progress, we view the share price impact as neutral, but confirmation of solid fundamentals leaves a good impression.(Seiji Wakao)

Source: Bloomberg Finance L.P., J.P. Morgan

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